pronouncements and prevailing practices for valuation and verification of current assets and intangible assets. It is very much helpful to show true and fair view of the financial position of the business enterprises.

5.2 Verification and Valuation of Current Assets

5.2.1 Meaning and Definition of Current Assets

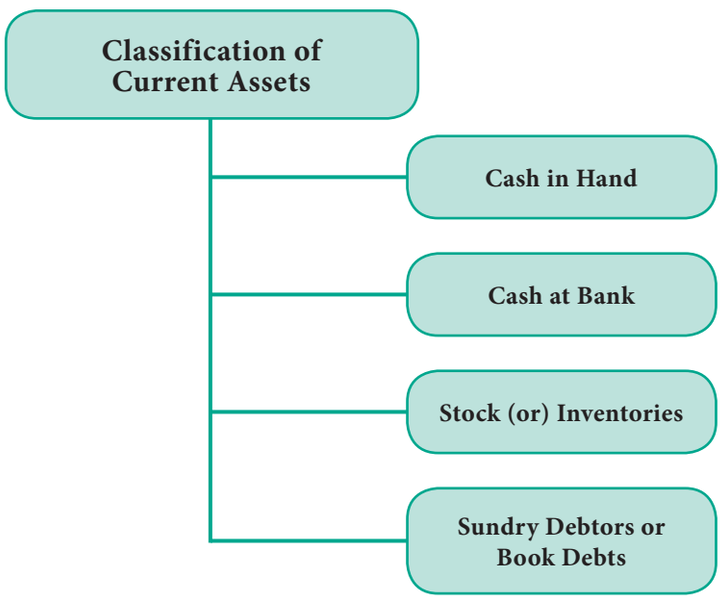
Operating assets that are used in the business and which can be converted into cash during a short duration are called 'Current Assets'. In other words, assets acquired through cash and easily convertible into cash during the normal course of business are termed as current assets. Current Assets are also known as floating or circulating assets. Current assets includes cash in hand, cash at bank, short-term marketable securities, short-term investments, bills receivables, sundry debtors, inventories, and prepaid expenses.

Current Asset is defined by various authors as -

- **Merriam Webster:** Assets of a short-term nature that are readily convertible to cash.
- **Collins Dictionary:** Current assets are assets which a company has which can convert it into cash within one year.
- **Accounting Dictionary:** A current asset, also called a short-term asset, is a resource expected to be used to benefit a company within a year or the current accounting period.

5.2.2 Classification of Current Assets

Current assets are assets which are utilized or converted into cash within one-year period. They are assets tangible with physical form. Based on their nature, currents assets are classified into following categories as: (1) Cash in hand (2) Cash at Bank (3) Stock or Inventories, and (4) Book Debts or Sundry Debtors.



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